

# The Elements of DeFi

DeFi does not have an innovation problem. It has a vocabulary problem. Nearly every protocol ever shipped is a recombination of about fifty recurring mechanisms — and once you can name them, most of the industry stops looking novel and starts looking legible.

Call it a periodic table if you like, but it is not one: no periodic law, no atomic number, nothing recurring down a column. Chemistry discovered its elements. These were designed, in a hurry, by people shipping to production — which is exactly why the combinations are the part worth writing down.

THEME

DarkLight

v1.0 · reviewed 2026-08-04

48 core · 10 candidate · 10 contested · 29 laws · 19 hazards

## READ A PROTOCOL

Pick one. It lights up in the table below, numbered in the order each part became necessary. Four of these are dead — and those are the instructive ones.

|                                                      |                                                            |                                                      |                                                                 |                                                           |                                                   |
|------------------------------------------------------|------------------------------------------------------------|------------------------------------------------------|-----------------------------------------------------------------|-----------------------------------------------------------|---------------------------------------------------|
| <b>Aave v3</b><br>Pooled lending<br>10 elements      | <b>Uniswap v3</b><br>Spot exchange<br>4 elements           | <b>Maker / Sky</b><br>CDP stablecoin<br>10 elements  | <b>Liquity v1</b><br>CDP stablecoin<br>6 elements               | <b>GMX v2</b><br>Perpetual futures<br>8 elements          | <b>Lido v2</b><br>Liquid staking<br>5 elements    |
| <b>CoW Protocol</b><br>Intent exchange<br>4 elements | <b>CCTP v2 Fast</b><br>Cross-domain transfer<br>4 elements | <b>Centrifuge</b><br>Real-world credit<br>8 elements | <b>Terra / Anchor +</b><br>Algorithmic stablecoin<br>6 elements | <b>Mango Markets +</b><br>Perpetual futures<br>6 elements | <b>Euler v1 +</b><br>Pooled lending<br>7 elements |

**Rows are how much must already exist**

S0 needs nothing but the ledger. S4 needs other people to agree. Deeper is not more dangerous — it is more dependent, and confusing those two is how you misprice a protocol.

**Blocks are families of substitutes**

Everything in a block answers one question. Swap Cp for Cl and you still have a DEX. That is what a block means and the only thing it means.

**The shape is the finding**

Families cluster at one depth — credit is all S3, pricing all S1. And S3 is enormous: most of DeFi is machinery for owing, pricing and unwinding obligations.

**Colour only ever means hazard**

There is exactly one coloured thing in this interface and it is danger. Everything else earns its distinction from position, shape and lightness.

VIEW

The tableLawsHazards

ARRANGEMENT

By depthBy family

DIMENSION

Flat3D

READING ORDER

By groupBy stratumBy ID

SEARCH

symbol, name or ID

Row = prerequisite depth, exactly. **Blocks** inside a row are families of substitutes. Order within a block is **not** semantic.



|                           |    |
|---------------------------|----|
| 11                        | 54 |
| In                        |    |
| Intent & solver execution |    |
| ■ core                    |    |

**Contested register – 10 entries**

Held outside the table because a necessary criterion is genuinely disputed.  
Not usable in a formula without a note. The separation means “argued about”, not “filed away”.

